Solution

In the books of Thai Ltd.
Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c Dr. To Equity share application A/c (Application money received)		5,00,000	 5,00,000
	Equity share application A/c Dr. To Equity share capital A/c (Transfer of share application money to share capital)		5,00,000	 5,00,000
	Equity share allotment A/c Dr. To Equity share capital A/c (Share allotment money due)		2,00,000	 2,00,000
	Bank A/c Dr. To Equity share allotment A/c (Allotment money received)		2,00,000	 2,00,000
	Equity share first call A/c Dr. To Equity share capital A/c (Share first call money due)		2,00,000	 2,00,000
	Bank A/c Dr. To Equity share first call A/c (Share first call money received)		2,00,000	 2,00,000
	Equity share second and final call A/c Dr. To Equity share capital A/c (Share second and final call money due)		1,00,000	 1,00,000
	Bank A/c Dr. To Equity share second and final call A/c (Share second and final call money received)		1,00,000	 1,00,000

7.8.1 Under subscription

All the shares offered to the public may not be subscribed in full. When the number of shares subscribed is less than the number of shares offered, it is known as under subscription. Under such circumstance, all those who have duly applied will obtain allotment provided minimum subscription as mentioned in the prospectus has been subscribed.

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